

How to Use Your Home Office Deduction Allocator

SKU TAX-006 • HOME OFFICE DEDUCTION ALLOCATOR

A wizard that walks you through both home-office methods (Simplified \$5/sqft vs Actual-Expense), checks the IRS exclusivity tests, and outputs a print-ready Form 8829 mapping.

Bonus: a qualified home office is what makes residence-to-STR mileage **deductible business travel** instead of non-deductible commuting. The two work together.

Wizard flow (8 tabs + Settings)

Two files:

- **DEMO** — Sarah's example: 2,400 sqft home, 110 sqft office, Actual method, ~\$985 deduction.
- **BLANK** — your numbers.

Open **BLANK** and walk the tabs.

Step 1 — Eligibility (tab 1)

5 yes/no questions. The two non-negotiable ones:

- Office used **regularly**? (Y/N)
- Office used **exclusively** for business? (Y/N)

Both must be Yes. If either is No, the IRS does not allow the deduction — period.

Step 2 — Space Allocation (tab 2)

- Total home sqft
- Office sqft (regular + exclusive only)

Workbook computes business-use % = $\text{office_sqft} / \text{home_sqft}$.

Step 3 — Method Election (tab 3)

Pick one:

- **Simplified** — $\text{MIN}(\text{office_sqft}, 300) \times \5 . Max \$1,500. No depreciation. No recapture.
- **Actual** — direct expenses + (indirect $\times$ biz %). Includes depreciation. Triggers \$1250 recapture if you sell the home.

The tab shows both side-by-side and flags the higher one.

If you plan to sell within 5 years, Simplified is often better even when smaller — no recapture.

Step 4 — Actual Expenses (tab 4) — only if you elected Actual

Direct (only-the-office cost) and indirect (whole-house, prorated by biz %): utilities, insurance, repairs, real estate taxes, mortgage interest, depreciation.

Step 5 — STR Routing (tab 5)

Schedule E (passive) → deduction lands on Line 18a. Schedule C (active/substantial-services) → Line 30. Pick which form you file.

Step 6 — Form 8829 Map (tab 6)

Auto-built mirror of Form 8829 lines 1–36. **Print this** and hand to CPA.

Step 7 — Launch (tab 7)

Deduction summary card + print packet.

Year-to-year flexibility

You can switch methods every year. No election lock.

Questions?

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Upgrade path: Tax Season Bundle (\$147) at thestrledger.com/tax-bundle — Schedule E + Schedule C + Mileage + 1099 + Home Office + Section 179 + Quarterly Estimateds + Per-Diem.

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